



Market Briefs Pro

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Good morning, Pro Briefers!

The Kabutocho district has been the heart of and center of Japanese finance for decades - think Wall Street, but in Japan.

The Tokyo Stock Exchange is the third in the world by size, with a \$7.59 trillion market cap as of October 20th, 2025.

- Only the New York Stock Exchange, Nasdaq, and Shanghai stock exchanges are larger.

However, as large as it is, the Japanese stock exchange has never had the same juice as its American counterparts, underperforming U.S. stocks for years now.

Both have had roughly the same return in the last 5 years of 85% - but when considering the depreciation of the yen vs the dollar during that time, Tokyo's actual return is much lower.

And there's been one big reason why: Japanese companies have been run to benefit executives, with incentives like lifetime employment and bonuses, not shareholders.

But that's changing - *fast*.

The Tokyo Stock Exchange just rolled out extensive reforms that are forcing Japanese corporations to flip their entire business model upside down.

They're moving from "stakeholder first" to "shareholder first" - the same shift that created massive wealth in America starting in the 1980s.

- For instance, many Japanese companies would stick with a long-term supplier, even if it did not make sense for the business.

What's changing? The idea is to pull resources away from leadership and employees and use those funds to invest into the business for growth in order to maximize shareholder value.

At the same time, the Bank of Japan (Japan's version of our Federal Reserve) is raising interest rates at an unprecedented rate.

Reminder: Japan had negative interest rates back in 2023 - that's like taking out a loan, and instead of paying interest, the bank pays you interest.

This is where we've identified a Broad Market Shift:

Japan is undergoing a complete corporate culture transformation while simultaneously raising interest rates as the rest of the world cuts them - creating a rare double catalyst for Japanese equities.

So where is the opportunity? The companies that could benefit most are some of the only Japanese stocks American investors can easily buy.

Many of these stocks are available on American exchanges via American depository receipts (ADRs).

In English: Investors can buy shares in these companies just like any other stock available for purchase.

Let's break down what's happening and where the opportunities are.

ANALYST REPORT

Tickers we're tracking:

Banking: Mitsubishi UFJ Financial Group (MUFG)

Everything owner: Orix (IX)

Economic powerhouse: Toyota Motor Company (TM)

THE SHIFT

The One-Two Punch

Two major forces are converging in Japan right now, and they're both pointing in the same direction: higher profits for shareholders.

Force #1: Corporate Reform

The Tokyo Stock Exchange is mandating change as it pushes to compete on the global stage.

They're setting minimum price-to-book ratios that companies must hit.

A company's price-to-book ratio shows investors the value of its assets and if the company were to liquidate everything, how much would be left over to give back to shareholders?

Price-to-book ratio helps investors to determine the value of a company's assets - higher assets could make some companies appear more valuable, potentially raising share prices.

If you're underperforming, they publish your name on a list.

- Its "name and shame" list used to just point out companies who broke the law - now, it also points out companies who are not using capital effectively to benefit shareholders.

Companies are not legally forced to comply with capital requirements, but the public shaming creates a pressure most Japanese companies want to avoid.

What does this actually mean? Japanese companies have historically made decisions that benefit whoever runs the company.

Under the new rules, companies are being pushed to benefit shareholders through buybacks, dividends, and higher returns on equity.

This same shift happened in the U.S. during the Reagan administration in the 1980s.

It grew out of corporate-friendly tax incentives and ultimately drove decades of market gains.

Japan is doing it now, just 40 years later. We're watching a cultural shift happen in real-time for one of the world's largest economies.

Force #2: Rising Interest Rates

While the Federal Reserve and other central banks around the world are cutting rates, the Bank of Japan is doing the opposite - they're raising them.

Japan just raised rates to the highest level in 30 years. By mid-December 2025, rates hit 0.75% - a level not seen since 1995.

Why are they doing this? For years, Japan kept rates at zero or even negative to try to stimulate their economy. But that crushed the value of the yen.

Now they're reversing course to strengthen their currency by raising rates. That could actually benefit Japanese banks and financial institutions.

- Higher rates mean banks can charge more on loans without paying much more to depositors.

And the companies best positioned to benefit from both of these shifts? Japan's largest corporations - the same ones available to American investors through ADRs.

BANKING

Japan's J.P. Morgan

Mitsubishi UFJ Financial Group is Japan's largest publicly traded financial institution, and it stands to benefit from both catalysts we mentioned before.

Think of them as Japan's version of J.P. Morgan - a massive bank with exposure to consumer deposits, corporate lending, and investment banking.

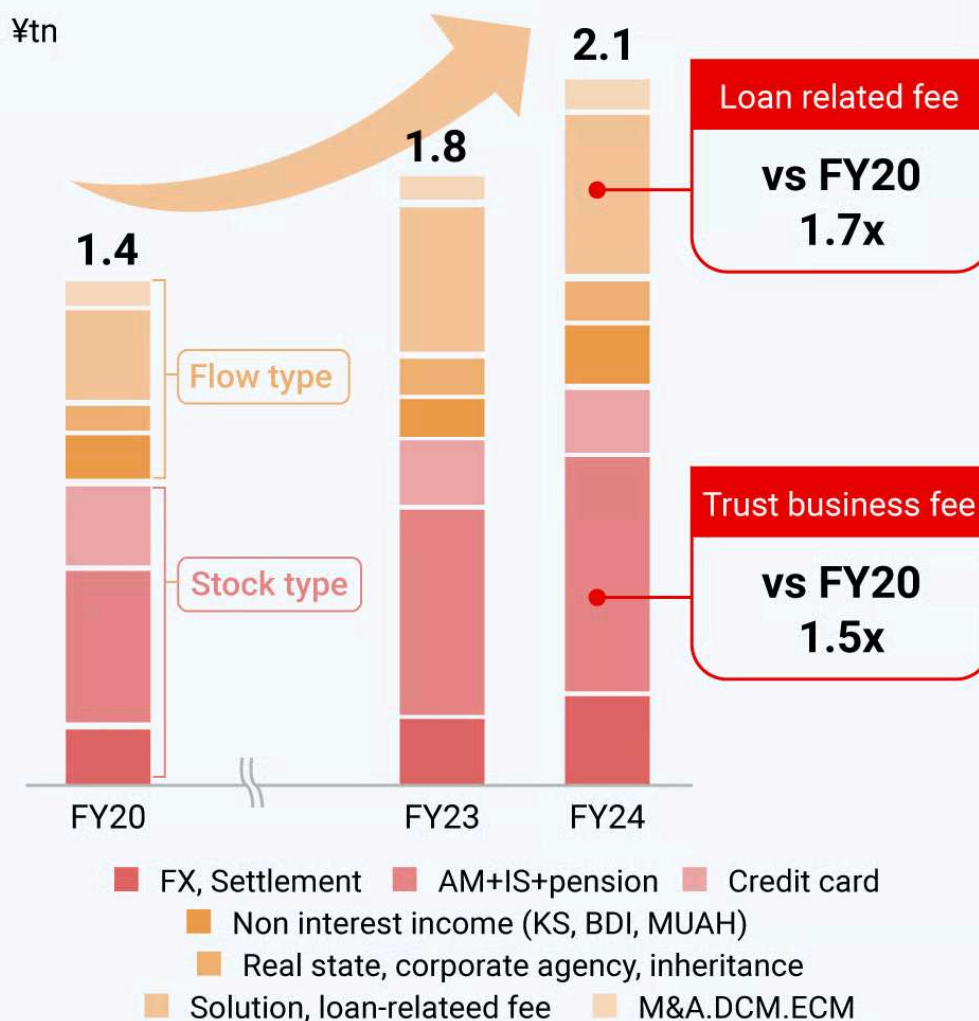
Like other major banks, MUFG makes money from the spread between what it charges on loans and what it pays on deposits.

Rising rates mean they can charge more on loans. Higher rates could also mean lower loan volumes, but that will be balanced out by higher fees on the loans.

MUFG fee income over time

Diversified business portfolio resulted fee income

Fee income trend



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Data via MUFG's investor presentation

What sets them apart? They maintain a massive deposit base, which allows them to earn higher interest income without significantly increasing what they pay to depositors.

The bottom line: Higher rates and high deposits = more profit for MUFG.

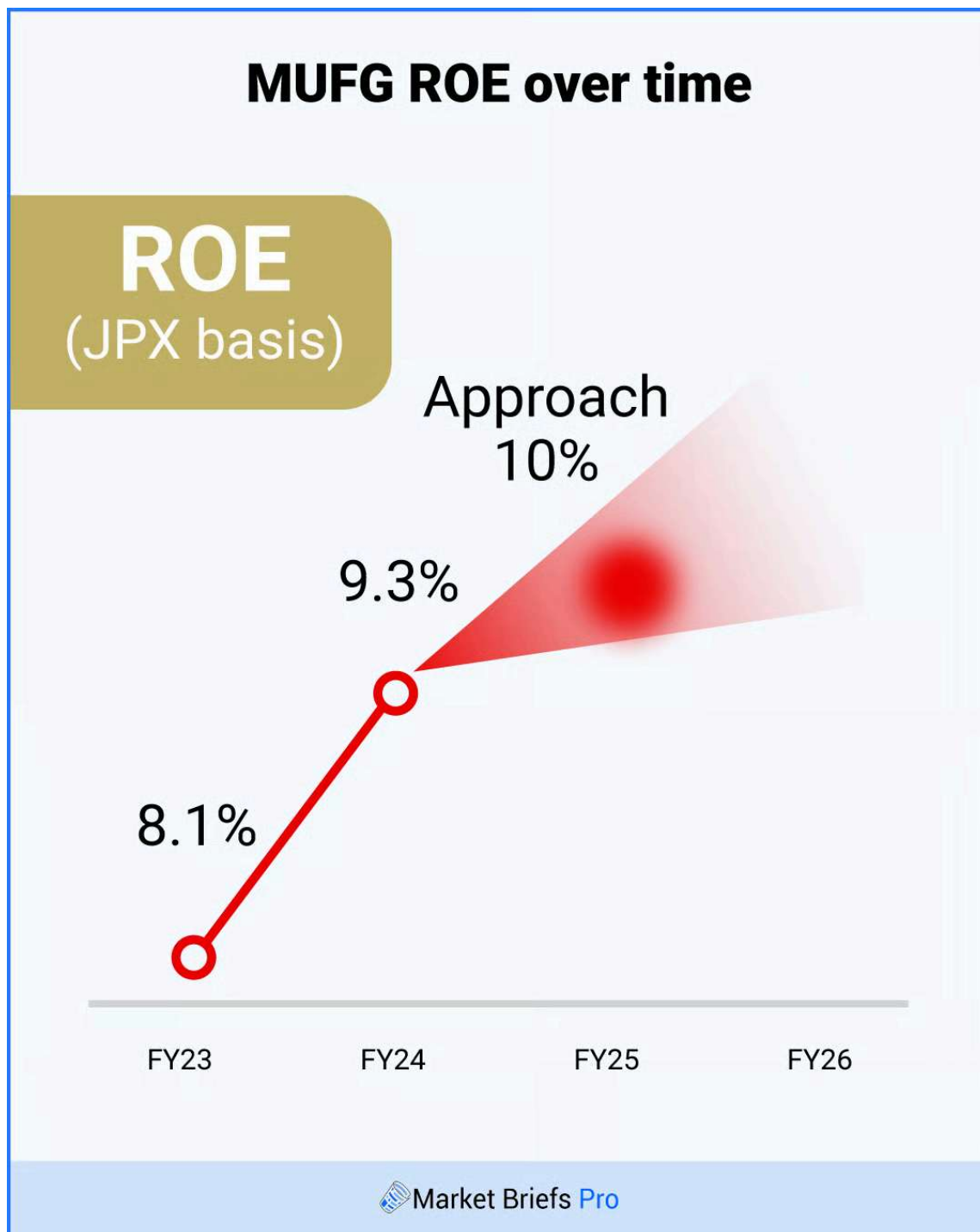
MUFG has also been leading the charge in Japan for corporate reform.

The company has committed to ambitious goals for 2026:

- 9% Return on Equity (RoE)
- Net Operating Profit of 2.1 trillion yen

The company projects raising rates will raise profits by approximately 30%.

Shares are up more than 36% year-to-date as of December 17th, 2025, and they just broke all-time highs that were originally set in 2006.



Data [via](#) MUFG's investor presentation

- The S&P 500 is only up only around 15% in that same time frame.

The forward P/E ratio is projected to be around 12 - relatively modest for a company experiencing this kind of profit acceleration.

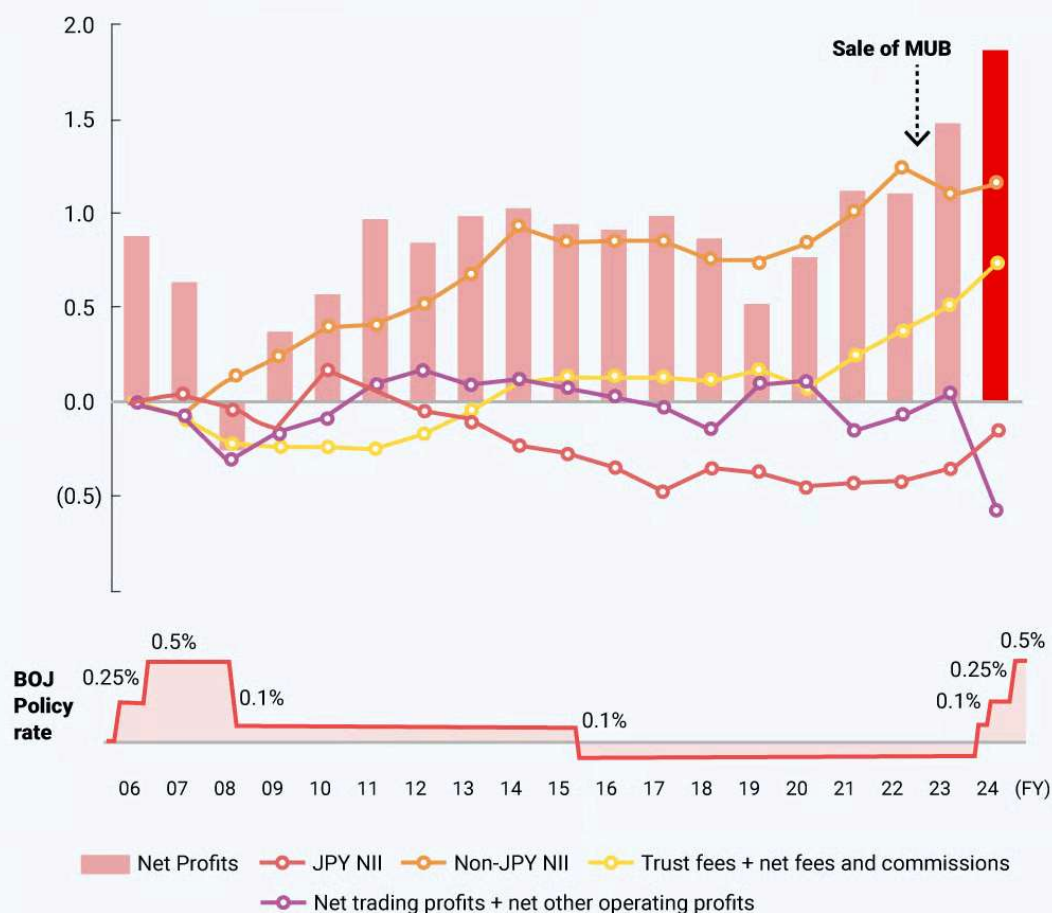
- That's lower than the company's current P/E of 14 as of December 17th, 2025 - which could indicate it's undervalued compared to its earnings potential.

In short, MUFG is a major financial institution getting a 30% profit boost from rising rates, while simultaneously restructuring to maximize shareholder returns.

Investors may want to keep an eye on its growth in 2026, as it could be an undervalued opportunity waiting to explode.

MUFG net profits by business vertical

By diversifying revenue base and recovering JPY NII from interest rate hikes, net profits recorded historical high



Market Briefs Pro

Data via MUFG's investor presentation

EVERYTHING OWNER

Japan's Berkshire Hathaway

If MUFG is Japan's J.P. Morgan, then Orix is its Berkshire Hathaway.

- The company provides services in finance, real estate, automotive, and more - it also operates in 28 countries, including the U.S.

The opportunity here is in how Orix uses its money.

Both Orix and Berkshire follow the same playbook:

1. Raise money.
2. Reinvest it across multiple unrelated businesses.
3. Benefit from long-term compounding growth.

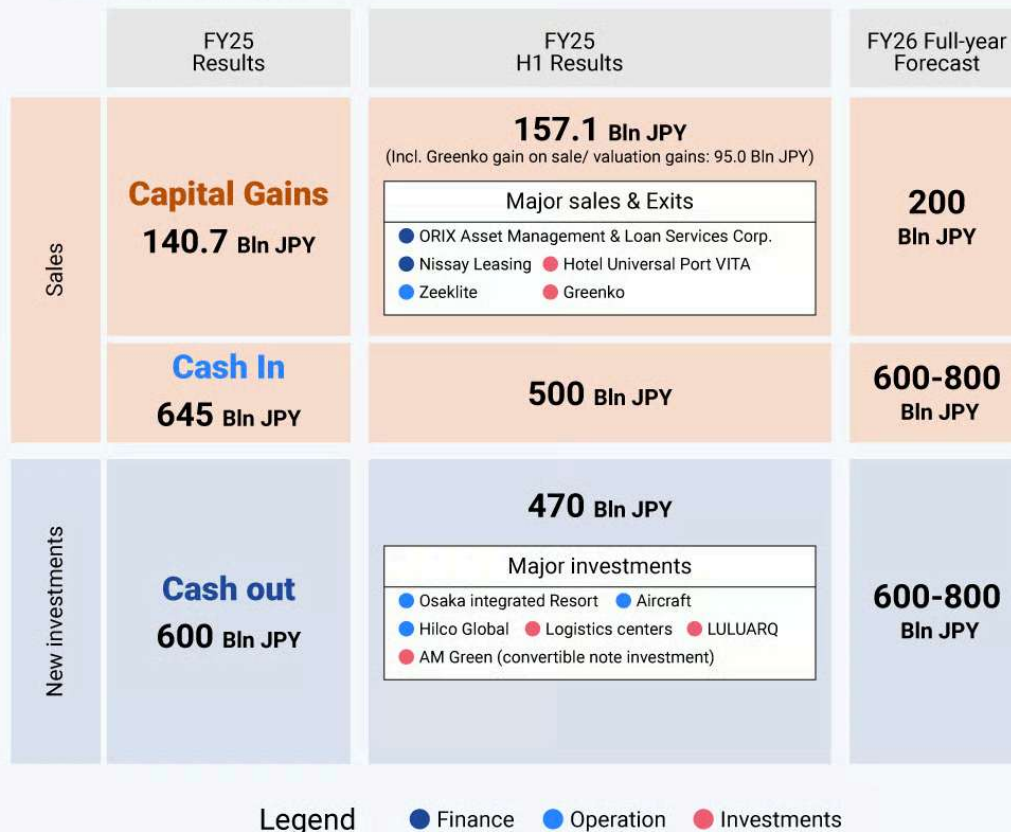
Both companies focus on investments with recurring cash flow and resilience to economic cycles.

And both operate as decentralized conglomerates - a rare model at this scale.

Orix capital recycling results and forecast

Capital Recycling

- ✓ Posted FY26 H1 capital gains of 157.1 Bln JPY, expect to realize sizeable gains in H2 as well
- ✓ Will flexibly recycle capital to optimize portfolio while balancing new investments, exits in all three categories



Data via Orix's Investor Presentation

Decentralized? Orix owns companies and benefits when they are successful, but has limited exposure to their day-to-day operations.

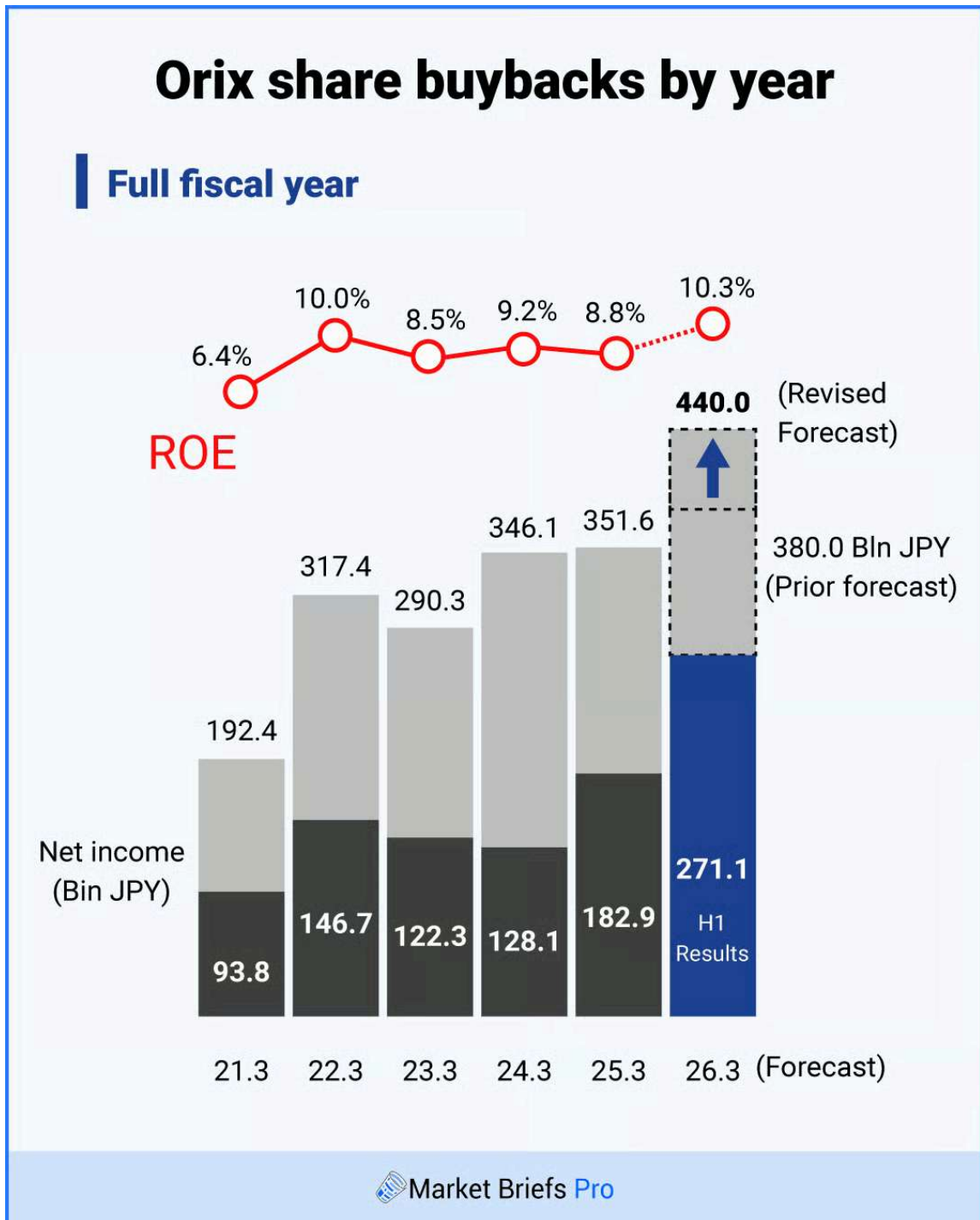
However, Orix and Berkshire are different in many ways.

First, Orix relies more heavily on leasing and credit, while Berkshire uses insurance float as its funding mechanism.

- The approach from Orix allows for steady spreading, as it only spends money that is has available, like from a line of credit or leasing revenue.

- Berkshire collects premiums, and uses that cash until it has to pay out an insurance claim, which is sometimes referred to as a business float.

Orix is also a much bigger player in private equity, with many of its investments being either private or full buyouts.



Data via Orix's Investor Presentation

How does this shift change things? Orix has directly responded to the Tokyo Stock Exchange's "name-and-shame" list.

In investor presentations, Orix specifically added Return on Equity to its key performance indicators. In previous years, the only metric was Net Income.

It signals they're focused on generating value for shareholders, not just total profit.

Orix began selling off overly complex and low-margin holdings with the stated intent of raising Return on Equity.

Then they're using the proceeds to execute large-scale stock buybacks, which directly boosts share price.

By the end of their fiscal year in March, the company had set an aggressive goal of 11% Return on Equity.

Their most recent investor presentation focused entirely on their "Value Creation" story, dedicated to showing a strong RoE strategy.

ORIX Corporation (IX)

YTD Price

28.83
(35.10%)



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Data [via](#) Yahoo! Finance

Shares of Orix are up 35% as of December 17th 2025, well ahead of the S&P 500.

Forward P/E ratios vary by source, but range from 7 to 11 - potentially signaling Orix is undervalued in the space, especially for a financial conglomerate making big changes like this.

So the opportunity is: Orix is aggressively restructuring to maximize shareholder returns, and in 2026, this strategy could be full steam ahead.

The Face of Japan's Economy

The Tokyo Stock Exchange's reforms aren't limited to banks and investment firms - these changes are impacting most major Japanese companies.

And no company represents Japan's economy more than Toyota Motor Company.

Toyota is the largest automaker in the world by sales volume and is often considered the face of the Japanese economy, due to its large size and core Japanese values.

And they're going through the same transformation.

Toyota has been selling off long-term holdings in its suppliers, which is freeing up cash to capitalize on two initiatives:

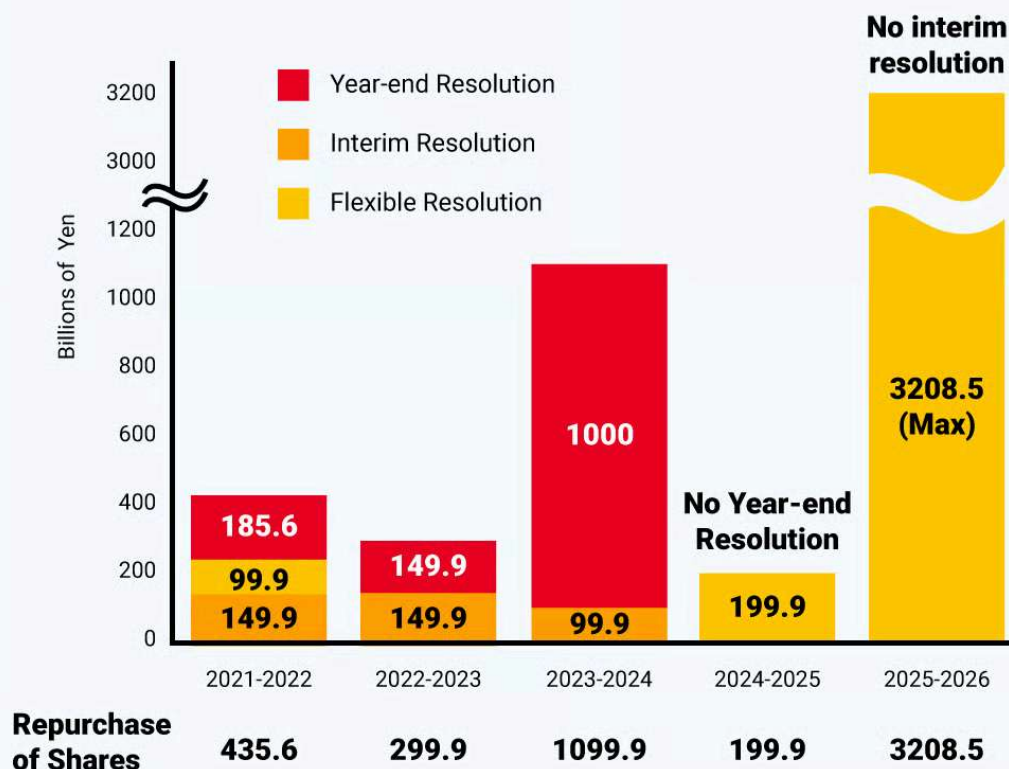
1. Massive technological overhauls aimed at future revenue.
2. Large-scale stock buybacks.

The technology investments keep them competitive in an increasingly challenging automotive landscape - but that's not all.

Toyota share buybacks by year

TOYOTA

- FY2026 interim: no share repurchase budget
(a resolution for approx. 3.2 trillion yen was approved in June.
- Depending on the stock price level and other factors, and the need to respond to requests to sell our shares, we will continue to flexibly implement share repurchases in the future.



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Data via Toyota RoE Presentation

To increase shareholder value, Toyota rolled out an aggressive dividend plan.

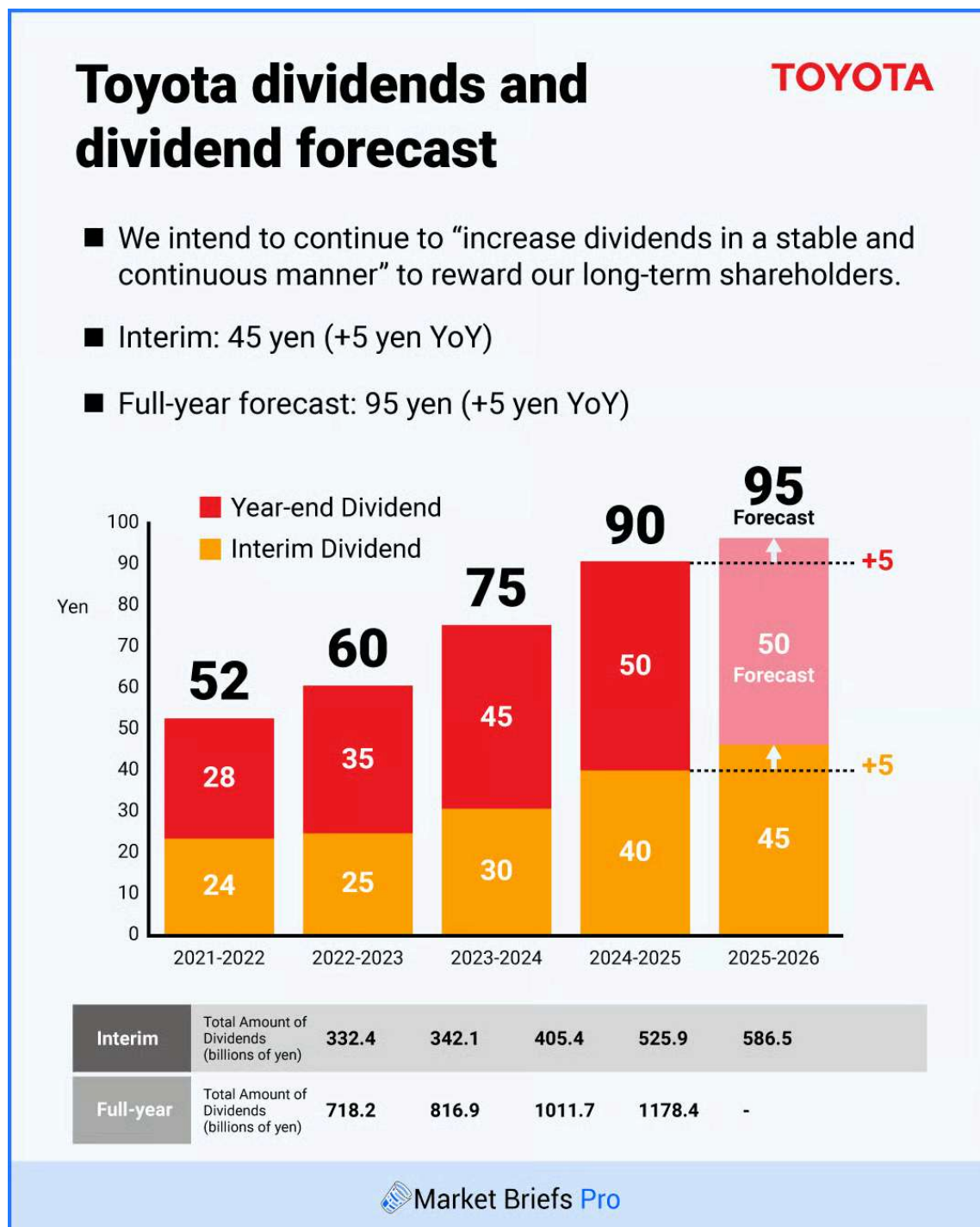
To support those dividends, they need to maintain massive sales volume - and to maintain sales, they need to innovate.

The plan? Batteries. They plan to unveil the next-generation of battery technology in 2026 as part of their roadmap to introduce solid-state car batteries as early as 2027.

- Solid-state batteries charge faster and hold charges longer than traditional lithium batteries.

If Toyota executes on this, they'll have a significant competitive advantage in the EV transition.

Like Orix, Toyota has been aggressively buying back its own shares with the purpose of boosting RoE.



Data via Toyota RoE Presentation

Their recent presentations focus heavily on both their RoE strategy and their battery technology roadmap - the two pillars of their shareholder-first transformation.

Investors will want to keep Toyota in mind as a potential opportunity, as it plans to aggressively increase shareholder value through tech investments and buybacks in the future.

Toyota Motor Corporation (TM)

YTD Price



216.21
(10.50%)



Market Briefs Pro

Data [via](#) Yahoo! Finance

RISKS

What Could Go Wrong

The primary risk? Currency volatility + a global slowdown.

The Bank of Japan must raise rates enough to boost bank profits but not so much that the yen becomes too expensive to use, which may hurt the profits of Japanese businesses.

The Tokyo Stock Exchange mandate is strong, but corporate Japan has a history of "window dressing".

What does that mean? Some companies may be announcing buybacks to satisfy regulators, but don't plan on fully making changes to increase RoE.

Real reform means laying off staff, selling legacy divisions, and making hard choices.

If companies take the easy route instead, this shift could lose momentum.

Lastly, Japan is a cyclical economy.

If the U.S. economy goes into a downturn in 2026, demand for Toyota's cars and Orix's leasing assets will plummet, hurting any gains from new governance.

That's because the Japanese economy is closely tied to the U.S. - people typically slow spending on big purchases like cars and find it harder to pay housing costs in a downturn.

Investors should know: A bet on this shift is a bet that Japan's corporate changes and rising interest rates are enough to surpass any global economic downturns.

But there's no guarantee that these changes will surpass global issues.

REVIEW

An Overseas Opportunity

What's happening in Japan is rare - we're watching an entire country's corporate culture transform in real-time.

The U.S. went through this same shift in the 1980s, and it created decades of wealth for investors who recognized it early.

The companies in Japan that will benefit are the companies that are being proactive in accepting the changes.

But the real opportunity might be what comes next.

If Japan's corporate reform continues through 2026 and beyond, we could be in the early innings of a multi-year shift.

That means investors will want to keep this shift in mind as we head into 2026 and beyond.



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